Brazil Macro Monthly

Monetary policy normalization begins

- Global monetary policy appears to be at a turning point, although countries differ. Still, expansionary policies are not expected anytime soon, as inflation remains a pressing issue;
- In Brazil, recent data confirm the slowdown in economic activity. Hence, we maintain our GDP growth forecasts of 2.2% for 2023 and 1.0% for 2024;
- We estimate that the consolidated public sector will post a deficit of 0.9% and 0.7% of GDP in 2023 and 2024. The challenge turns to the government presenting a balanced budget for 2024, and Congress approving the necessary revenue-boosting measures;
- We revised our exchange rate forecasts to 4.70 per US dollar at the end of 2023 (5.00 before) and 4.85 at the end of 2024 (5.15 before), in line with the global weaker dollar trend and the solid Brazilian terms of trade;
- On the back of better recent readings and stronger BRL, we reduced our IPCA forecasts to 4.6% from 4.7% in 2023, and to 3.9% from 4.1% in 2024;
- The stronger BRL also allows for a slightly lower Selic rate. We reduced our terminal Selic rate forecast from 10.50% to 10.00%. We still see the expansionary bias of fiscal policy as a limiting factor for lower interest rates in 2023.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.2	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.5	9.0
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.6	3.9
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.70	4.85
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.0	-1.0
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.8
Gross debt (% GDP)	74.3	86.9	78.8	73.5	75.6	78.8
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	72.5	65.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	356.5	359.0
Imports (USD Bn)	185.9	158.8	219.4	272.7	284.0	293.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-44.0	-48.0
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FDI (% GDP)	3.7	2.6	2.8	4.8	3.5	3.2
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.175	2.310
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.533	11.090

Source: IBGE, BCB, Bloomberg, XP.

Foreword – raising global tide amid pragmatic domestic economic policy

Inflation pressures are fading globally, suggesting that interest rates in developed markets will not rise much further. Commodity prices remain at relatively high levels, benefiting their exporters.

This combination spurred optimism to risky asset markets, particularly in Latin America. As we have been pointing out in our reports, the global environment has been benign for Brazil this year. Part of the positive performance of Brazilian assets relates to that.

We see the other reason related to a pragmatic approach to domestic economic policy. So far, we haven't seen a reversion of important reforms from recent years – as highlighted by Fitch Rating as it upgraded Brazil's sovereign rating; additionally, we've seen a push for further ones, like the tax reform.

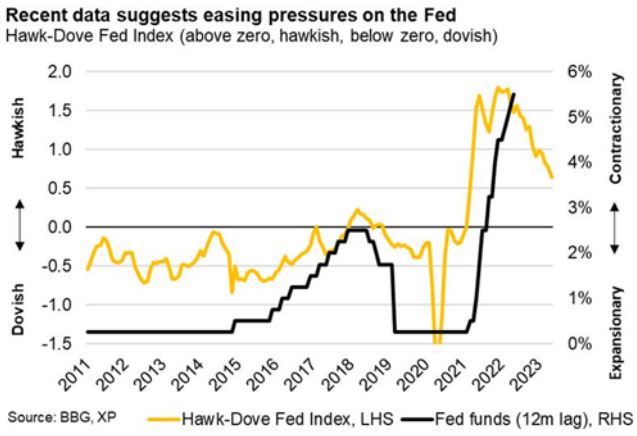
Against this background, we forecast now a somewhat stronger BRL at the end of 2023 and 2024, which will help inflation to continue falling (though not to the target) and should allow a terminal Selic rate a bit below what we expected before (10.00% vs. 10.50%).

Expansionary fiscal policy and the uncertainty regarding the effectiveness of the tax-increase measures needed to balance the budget are, in our view, the main risk limiting further loosening of monetary policy.

Global backdrop: Monetary policy at a turning point with differences between regions

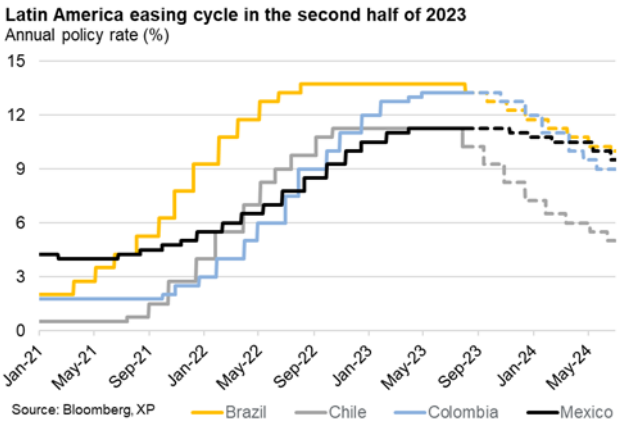
Francisco Nobre

We believe the Fed will no longer hike rates this year. The Fed hiked 25 bps in its June meeting and left the doors open for upcoming meetings, reinforcing its data dependent approach. In a new study we published last week (Fed Hawk-Dove Index), our model suggests that pressures on monetary policy have eased significantly throughout the first semester, consistent with a turning point and the end of the tightening cycle. Thus, we think that unless conditions deteriorate, the Fed will not hike again in this cycle. We expect the FOMC to start cutting rates in the third meeting of 2024, albeit gradually, ending the year at 4.0%.



No more automatic rate hikes in the Eurozone, but the story is different in the UK. We think that the ECB will hike interest rates one last time given that risks to inflation are higher than in the US, while interest rates are lower. In its turn, rates are still expected to rise somewhat further in the UK, given that inflation remains the highest among developed economies. The BoE raised rates by 25 bps in its August meeting to 5.25% and is expected to take it to 6.0% by yearend.

In Latin America, earlier tightening will allow for earlier easing. Central banks in Latin America started to raise rates in 2021, around one year earlier than developed countries. Central banks are confident that inflation is trending down, and the recent downside surprises to CPI data reinforce this view. Brazil, Chile, and Uruguay have already started cutting rates. We believe that the next to start their own easing cycles will be Peru (August), Colombia (October) and Mexico (November).

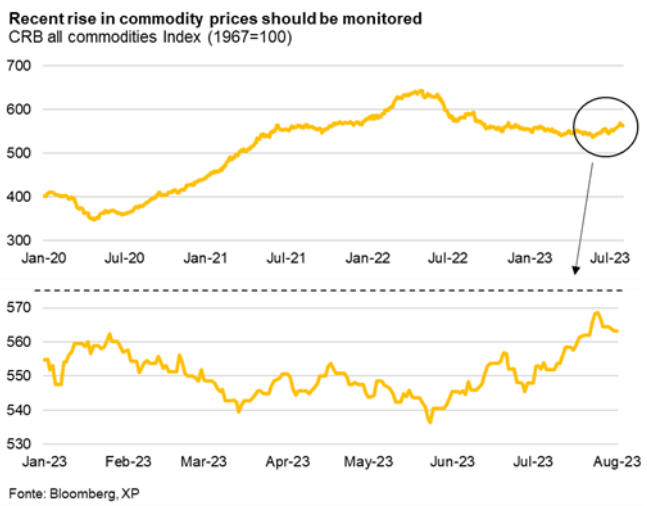


But rate cuts do not mean expansionary monetary policy anytime soon. Monetary policy appears to be at a turning point amid the improving inflation outlook, and sooner or later, all central banks will start cutting rates. Still, the inflation issue has not disappeared yet, and monetary policy is expected to remain in contractionary territory around the globe until central banks are completely convinced that inflation will return to targets.

China´s economy lost momentum in the first semester of 2023. The Chinese economy grew by a shy 0.8% in the second quarter, showing mounting evidence of a slow economic recovery since the economic reopening. This performance reflected falling exports, weak retail sales, and a slowing property sector. Consumer and business

confidence have not recovered as expected. The government pledged to increase policy support to meet its 5% growth target, which may support activity in the short run.

The recent spike in commodity prices should be closely monitored. WTI crude futures increased to above USD 80 per barrel, trading near a three-month high. The oil market remains supported by output cuts from OPEC+. Grain prices also increased, reflecting Russia´s pulling out from the grain trade deal. On the demand side, fiscal sport in China may add some pressure on prices ahead. If commodity prices embark on an uptrend again, this would pose an upside risk to the global inflation outlook, although it tends to benefit commodity exporters.

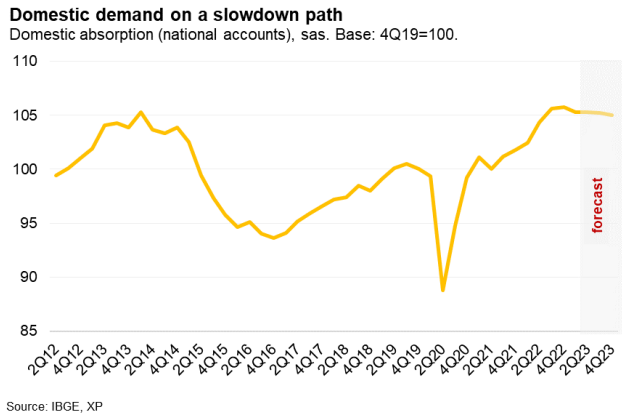


BRAZIL: Monetary policy normalization begins

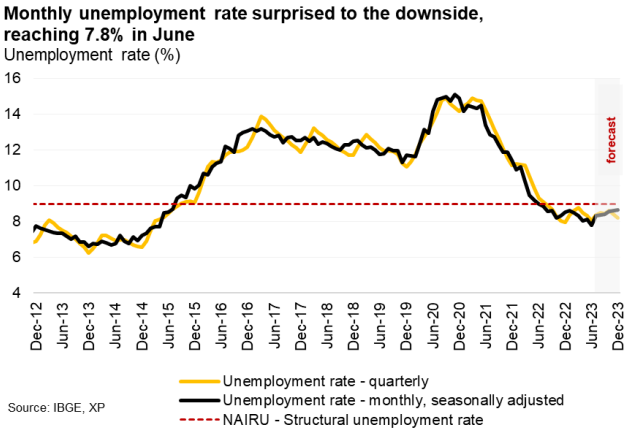
Economic Activity – recent data confirm the economic slowdown

Rodolfo Margato

The economy grew only moderately in Q2. The main economic sectors have lost steam in recent months. Manufacturing continues on a downward trend, mainly due to falling capital goods output. Retail trade has stagnated, even though vehicle and foodstuff sales were positive due to government stimulus. Even the services sector, which led the post-covid recovery, seems weaker now. On the positive side are the sectors less sensitive to the economic cycle, such as agriculture and mining. All in all, we reinforce our estimate of a 0.3% increase in GDP for the second quarter compared to the previous quarter (2.6% compared to the same quarter of 2022).



In the labor market, the unemployment rate stood at around 8% while real earnings stopped rising. The main employment and income indicators lost strength. According to our seasonally adjusted estimates, the monthly unemployment rate stands at around 8%, with a modest increase in the employed population and the labor force participation rate still well below pre-pandemic levels. In turn, real income metrics were practically stable between the end of 2022 and the end of the first half of 2023. We do not foresee any relevant changes in the labor market scenario until the end of this year. This dynamic is consistent with our scenario of a smooth deceleration in consumption, which is also supported by lower inflation in the short term and higher government income transfers



(disposable family income should rise by around 5% in 2023).

Tighter credit conditions and rising delinquency rates. Corporate credit contracted in the first semester, while credit to individuals has stabilized. Despite the expectations of looser monetary policy ahead, credit conditions should remain tight for a while, which should contribute to subdued economic activity in the quarters to come.

We maintain our GDP growth forecast at 2.2% for 2023... The solid GDP performance in Q1 should guarantee a strong result for the year, despite the expected cooling in the following quarters.

... and at 1% for 2024. Growth should remain modest in 2024, considering the lagged effects of monetary tightening and the end of "post-Covid" impulses. In addition, the statistical carry-over from the 2023 GDP should be slightly negative. Therefore, we forecast GDP growth to decelerate to 1.0% next year. There are, however, relevant uncertainties to this projection, including: (i) the pace of deceleration of the global economy; (ii) the pace and intensity of the local monetary easing cycle; and (iii) possible government stimulus measures, including quasi-fiscal policies.

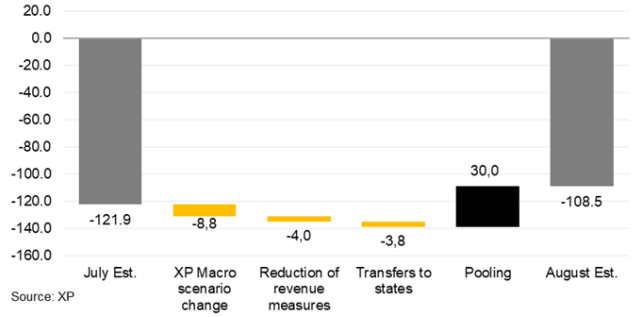
Public finance – No easy path for the 2024 budget

Tiago Sbardelotto

Deficit in the first half of 2023. The public sector accumulated a deficit of BRL 20.4 billion (0.2% of GDP) in the first half of the year, reversing the surplus recorded at 2022 yearend. The result was driven by the Central Government, which had a deficit of BRL 46.5 billion in June and accumulated a deficit of BRL 42.3 billion in the first half. The result can be explained by the 5.3% drop in net revenue, especially in concessions, dividends and corporate profit tax (IRPJ/CSLL), in addition to the 5.1% increase in expenses, mainly concentrated in social security and assistance benefits. In 12 months, the public sector accumulates a deficit of BRL 24.3 billion (0.2% of GDP).

We reduced our 2023 deficit to R$108.5 billion (-1.0% of GDP) by incorporating estimated pooled expenses. The limited effect of revenue boosting measures implemented so far, wholesale deflation, and exchange rate appreciation reduced our revenue estimates. On the spending side, we incorporated federal government's compensation on ICMS (State-level VAT) revenue losses to states and

Inclusion of the pooling assumption reduces deficit forecast in 2023
Primary balance as BRL billion



Source: XP

Measures included in our baseline scenario
Estimates, BRL billion

Measure	2024 Gov.	2024 XP
Exclusion of ICMS credits from PIS/Cofins base	58	36
Reversal of PIS/Cofins exemption on fuels	54	54
Litigation reduction program	60	20
Online bets taxation	2	2
Exclusion of ICMS subsides from IRPJ/CSLL base	40	32
E-commerce taxation	8	2
Transfer pricing	25	12
Exclusive funds taxation	10	0
End of Interest on Equitiy Capital (IoC)	6	0
Taxation on foreign investments	4	4
Total	**267**	**162**

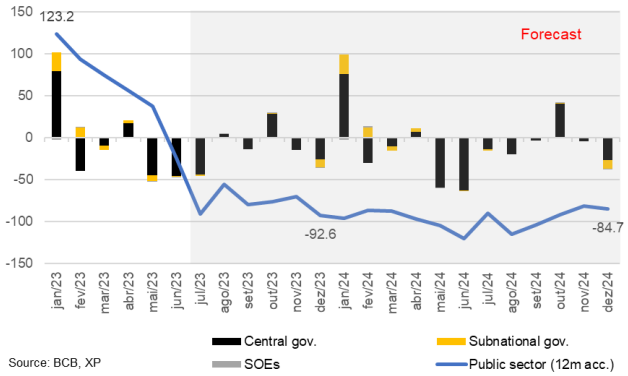
Source: Ministério da Fazenda, XP

municipalities. These factors would lead to a revision of this year's deficit from BRL 121.9 (-1.2% of GDP) to BRL 138.5 billion (-1.3% of GDP). However, we recognize that the deficit should be lower, given the expected pooling (expenditures budgeted but not executed due to budget rigidities or technical difficulties). Thus, our estimates include a BRL 30 billion reduction in expenses.

For 2024, we adjusted our deficit forecast from BRL 86.7 billion (0.8% of GDP) to BRL 107.8 (-1.0%). The change in estimates is explained by i) lower collection base for 2023; ii) reduced impact of revenues measures implemented by the government; and iii) the inclusion of the compensation for ICMS losses – part of which are not accounted in the expenditure limit. Our scenario does not include changes to income tax and takes a more conservative approach to estimating the impact of revenue increasing measures (see table). It also does not consider the mandatory spending freezing, **which could reach up to BRL 52 billion**. We believe the government will opt for smaller freezing, while seeking new revenues throughout the year.

The public sector should have a deficit of BRL 92.6 billion (0.9% of GDP) in 2023 and BRL 83.8 billion (0.7% of GDP) in 2024. Previously, we expected deficits of BRL 104.2 billion (1.0% of GDP) in 2023 and 69.3 billion (0.6% of GDP) in 2024. The change reflects reduced expenditures for 2023, and the worsening of Central Government's projections for 2024, while subnational entities had only marginal adjustments.

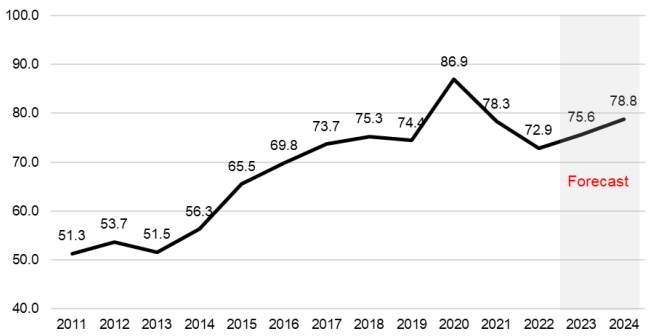
Public sector to record deficits in the coming months
Primary balance (BRL billion)



Source: BCB, XP

Debt estimates show improvements, but the upward trend continues. We now estimate that the gross general government debt (DBGG) will reach 75.6% of GDP in 2023 (compared to our 76.3% estimate from the previous month). The change reflects three important factors: i) the fall in the expected primary public sector deficit; ii) the reduction in the estimate for implicit debt interest; iii) exchange rate appreciation. For 2024, our forecast fell from 79.2% to 78.8% of GDP. We still do not foresee the public debt stabilizing in the long term.

Public debt continues to rise
General Government Gross Debt (% of GDP)



Source: BCB, XP

The challenge now is to settle the 2024 budget. The government must submit the 2024 budget bill to Congress by the end of August. In order to close the gap and reach the primary balance target of zero deficit, it must also submit other bills to boost revenues, some of which relate to changes in income taxation – including tax on exclusive funds and investments abroad and the end of interest on equity capital. These changes need to be approved by the end of this year to be effective next year (due to the precedence principle). Other measures discussed, including the change of the casting vote in CARF (Board of Tax Appeals), should be considered in the proposal - even if their impacts are uncertain (and probably smaller,

following likely changes in Congress). In any case, we believe that there is a great distance between the budget proposal and what should be implemented during budget execution, raising uncertainty about next year's deficit target.

External Accounts – we now see the FX at 4.70 reais per US dollar at the end of 2023 and 4.85 at the end of 2024

Rodolfo Margato

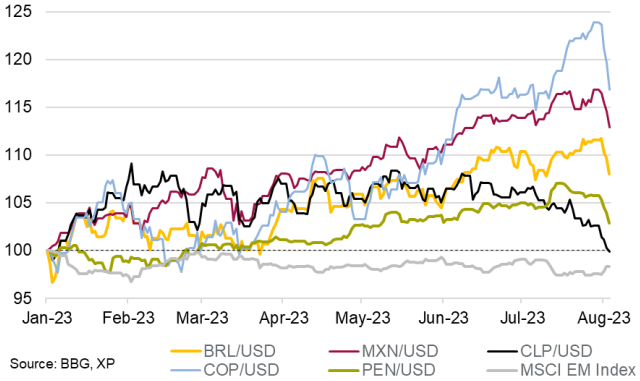
We revised our FX forecasts to 4.70 reais per dollar in 2023 (5.00 before) and to 4.85 in 2024 (5.15 before). The BRL is some 10% up year-to-date, reaching the strongest level in 15 months. In our view, this appreciation largely reflected the weaker US dollar globally and the rise (albeit moderate) in commodity prices. We believe that the international environment will remain relatively benign for Brazil in the coming quarters.

Stronger BRL forecast is backed by fundamentals. As we show in a recent publication, our models suggest that the fair value of the exchange rate would be within the 4.5-5.0 reais per US dollar range (https://conteudos.xpi.com.br/wp content/uploads/2023/02/XP-Macro-Special-_-New-year-same-question-Jan23-2.pdf).

Trade surplus at historic highs. Exports performed well in the first half, driven by primary goods. Imports contracted amid the slowdown in domestic demand. Thus, we estimate that the trade balance will reach the highest level in the historical series this year. This dynamic is consistent with our forecast of a USD 44.0 billion current account deficit at the end of this year (2.0% of GDP). Net inflows of FDI – Foreign Direct Investment – remain robust, despite some recent cooling. We project USD 75.0 billion at the end of 2023 (3.5% of GDP), a marginal reduction compared to last year due to the economic slowdown and the consequent reduction in corporate profitability.

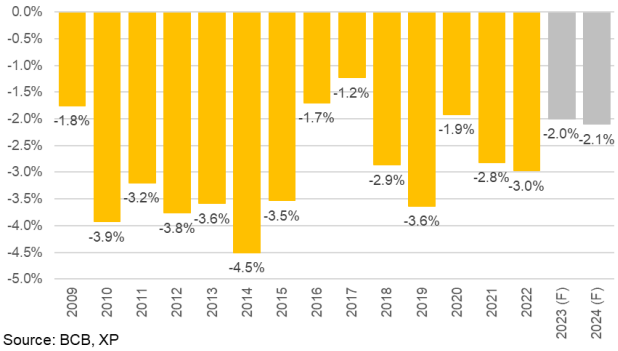
For 2024, we project a current account balance of -2.1% of GDP, and FDI inflows of USD 73.0 billion.

Positive performance from LatAm currencies in 2023
Exchange rate index, January 2023=100



Source: BBG, XP

Solid performance of the Trade Balance should keep the Current account deficit below the historical average
(% of GDP)



Source: BCB, XP

Inflation – Recent reliefs on costs continues, while service dynamics gain prominence in the discussions about future disinflation.

Alexandre Maluf

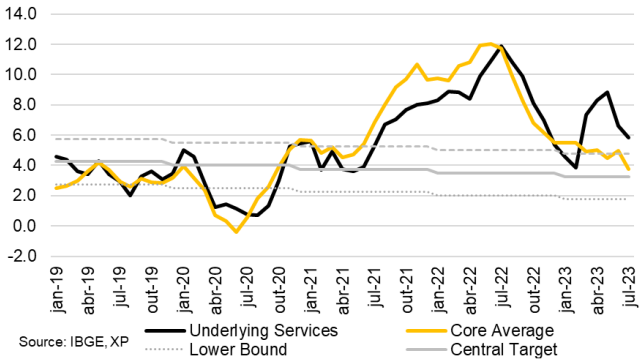
Dynamics of services inflation in the spotlight... After a sour reading for services inflation in June, the July IPCA-15 (-

0.07% MoM) showed accommodation in the Housing components, driving down the underlying services 3-month SAAR – a metric closely monitored by the Central Bank – from 6.6% to 5.8%. This is a considerable improvement at the margin, but still above the 3.25% target and higher than seen in December 2022 (5.4%). For the 2023 IPCA, we expect service inflation to end the year at 5.7% (from 7.6% in 2022) and underlying services at 5.4% (from 8.9% in 2022).

Thus, the "first stage" of disinflation continues... As we wrote in recent texts, the appreciation of the BRL and the accommodation in international commodity prices cooled down Brazilian PPIs (IPAs) – considering the IGP-M for July, the agricultural metric dropped -16.3% YoY and the industrial metric, -9.6% YoY. The benign impacts on consumer inflation were felt mainly on industrial goods and foodstuff, corroborating what is conventionally called the "first stage" of disinflation. Given our revision for Brazilian exchange rate and the recent benign inflation dynamics, we marginally revised our forecast for the 2023 IPCA to 4.6% from 4.7%. It is worth noting an upward bias to our projection, due to recent detachment between national fuel prices and international parity.

2024 inflation reaps fruits from a more appreciated exchange rate, but it remains above the target... As we see now a stronger BRL for next year, we reduced our forecasts for monitored and industrial prices inflation. **Thus, we reduced our 2024 IPCA forecast to 3.9% from 4.1%.** Resilient labor market and the expansionary fiscal outlook should keep service inflation at relatively high levels. Regarding foodstuff prices, we are not considering any extreme scenario. On the one hand, El Niño could put pressure on fresh foods and sugar. On the other hand, global grain prices should remain at comfortable levels, as supply recovers in Latin America and the US.

Relevant to monetary policy, underlying services and the core average cooled down in July
(IPCA-15, var. % SAAR 3M)



Source: IBGE, XP

IPCA Groups (annual change, %)	2023		2024	
	Prior	Current	Prior	Current
Monitored prices	8.5	9.2	5.4	4.7
Market-set prices	3.5	3.1	3.7	3.6
Food at home	0.7	-0.6	3.2	3.1
Industrials	2.0	1.6	3.4	3.0
Services	5.8	5.7	4.1	4.1
IPCA	4.7	4.6	4.1	3.9

Monetary Policy – stronger BRL allows for lower rates, but fiscal outlook still constrains monetary easing in 2024 (if the 3,0% target is for real, as we believe it is)

Caio Megale

The Copom explicitly signaled 50-bps as the preferred pace for the monetary easing. This goes in line with our scenario, though we thought they would start with a 25-bps cut. **Thus, we marginally adjusted our 2023 yearend Selic rate forecast to 11.75% from 12.00%.**

Will there be room for a pace acceleration along the way? The exchange rate is key. The futures market prices some probability of a 75-bps cut in the coming months. We do not see the economic scenario changing much ahead, so this

probability seems low now. We forecast IPCA at 3,9% next year, so we do not see room for inflation expectations to fall additionally. Uncertainties around fiscal policy in the coming years should continue to weigh on long-term inflation expectations. A possible positive news would be if external inflows intensify, and the BRL consistently strengthens to, say, below 4.50 reais per dollar.

We still see the fiscal risks as a hurdle for a more substantial monetary easing in 2024. The Copom withdrew fiscal policy from its upward pressure balance of risks, but we are more skeptical. Government expenditures will continue to grow notably above inflation next year, and the additional tax revenue needed to balance the **budget** remains uncertain (see fiscal section above).

Thus, if the Copom indeed aims to converge IPCA inflation to the 3,0% target, we see the terminal Selic rate at 10,00%. It is a bit lower than our previous forecast (10,50%), given our revised forecast of a stronger BRL reduces the IPCA forecast for next year and beyond, allowing the Copom to cut the benchmark rate a bit more.

XP Forecasts

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Source: IBGE, BCB, Bloomberg, XP.

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